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TENTATIVE RULING

HEARING DATE: 07/16/2026

CASE NUMBER: 25STCV35866

CASE NAME: Villalobos v. Toyota Motor Sales, U.S.A., Inc., et al.

MOVING PARTY: Defendant Toyota Motor Sales,
U.S.A., Inc.

OPPOSING PARTY: Plaintiff Kevin Villalobos

PROCEEDING: DEMURRER WITH MOTION TO STRIKE TO The sixth cause of action

RULING

SUMMARY: Defendant Toyota Motor
Sales, U.S.A., Inc.'s Demurrer to the Sixth Cause of Action (Fraudulent
Inducement – Concealment) is overruled.

Defendant

Toyota Motor Sales, U.S.A., Inc.'s Motion to Strike is denied.

Background

This is a Song-Beverly case. On December 9, 2025, Plaintiff
Kevin Villaloboa ("Plaintiff") filed his Complaint against Defendants Toyota
Motor Sales, U.S.A., Inc. ("Toyota") and Temecula Valley Toyota ("Temecula" and

collectively "Defendants") alleging six causes of action for (1) Violation of Civ. Code § 1793.2, subdivision (d); (2) Violation of Civ. Code § 1793.2, subdivision (b); (3) Violation of Civ. Code § 1793.2, subdivision (a)(3); (4) Breach of the Implied Warranty of Merchantability; (5) Negligent Repair; and (6) Fraudulent Inducement/ Concealment.

Plaintiff alleges the following: On or about April 29, 2024, he entered into a warranty contract with Toyota regarding the purchase of a 2024 Toyota Tundra (vehicle identification number 5TFWC5DB4RX073175) (hereafter "Subject Vehicle"). Plaintiff alleges that Toyota manufactured and distributed the Subject Vehicle. The Subject Vehicle suffered from defects and nonconformities covered by the express warranty, and Toyota failed to repair the Subject Vehicle after a reasonable number of attempts. Temecula failed to exercise ordinary care in repairing and storing the Subject Vehicle.

On January 14, 2026, Toyota filed this Demurrer with Motion to Strike the Sixth Cause of Action. On March 25, 2026, Plaintiff filed his Opposition. On March 30, 2026, Toyota filed its Reply.

DEMURRER WITH MOTION TO STRIKE The SIXTH CAUSE OF ACTION

I. Legal Standard

A.

Demurrer

Pursuant Code of Civil Procedure section 430.10(e), a party may object to a complaint or a cross-complaint by demurrer if the pleading does not state facts sufficient to constitute a cause of action. And under Code of Civil Procedure section 430.10(f), a party may object by demurrer if the pleading is uncertain, ambiguous, or unintelligible.

, The grounds for objection to the complaint must appear on the face of the pleading or from any matter of which the court is required or permitted to take judicial notice. (Code Civ. Proc. § 430.30(a).)

The

court accepts as true all material facts properly pleaded in the complaint, but does not accept contentions, deductions or conclusions of fact or law. (Simple Avo Paradise Ranch, LLC v. Southern California Edison Co. (2024)102 Cal.App.5th, 298-99 [quoting LLC v. City and County of San Francisco (2022)86 Cal. App. 5th, 439, 452.]

B.

Motion to
Strike

Pursuant to Code of Civil Procedure

section 436, the court may grant a motion to strike made pursuant to Code of Civil Procedure section 435. The court may strike out any irrelevant, improper, or false matter in a pleading, as well as any matter not drawn or filed in conformity with the laws of the state, court rule, or any court order. (Code Civ. Proc. § 436.)

C.

Meet and
Confer

Pursuant to Code

of Civil Procedure section 430.41(a), the demurring party must meet and confer in person, by telephone, or by video conference with the party who filed the pleading subject to the demurrer with the purpose of resolving the issues raised in the demurrer. The demurring party must meet and confer with the other party if an amended complaint is filed before a demurrer is filed for the amended complaint.

Similarly, before filing a Motion to Strike, the moving party shall meet and confer in person, by telephone, or by video conference with the party who filed the pleading that is

subject to the motion to strike for the purpose of determining if an agreement can be reached that resolves the objections to be raised in the motion to strike. (Code of Civ. Proc. § 435.5, subd. (a).) As part of the process, the moving party must identify all of the specific allegations that it believes are subject to being stricken and identify with legal support the basis of the deficiencies. (Code Civ. Proc. § 435.5 (a)(1).)

This requirement has been met. (Motion to Strike, Decl.
Rona Eli ¶12; see also Demurrer,

Decl. Rona Eli ¶2).

II. Discussion

A.

Demurrer

Toyota demurs to the fraudulent inducement by concealment cause of action on the grounds that (1) Plaintiff fails to allege facts sufficient to state a claim for fraudulent inducement by concealment and (2) the claim is barred by the economic loss rule.

i.

Sufficiency of the Pleading

The elements for a fraudulent inducement by concealment action are “(1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) the plaintiff sustained damage as a result of the concealment or suppression of the material fact.” (Rattagan v. Uber Techs., Inc. (2024) 17 Cal.5th 1, 40).

To allege an actionable omission, the plaintiff must plead facts supporting a duty to disclose. Such a duty may arise where “(1) the defendant is in a fiduciary relationship with the plaintiff; (2) the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) the defendant actively conceals a material fact from the plaintiff; [or] the defendant makes partial representations but also suppresses some material facts.” (LiMandri v. Judkins (1997) 52 Cal.App.4th 326, 336 (“LiMandri”)).

Fraud, including fraudulent concealment, must be pleaded with specificity. (Linear Technology Corp. v. Applied Materials, Inc. (2007) 152 Cal.App.4th 115, 132). However, where the claim is based on concealment rather than an affirmative misrepresentation, the specificity inquiry focuses on the unique elements of an omission-based claim. (Rattagan, supra, 17 Cal.5th at 49-50).

When the alleged duty arises from the parties' relationship and the defendant's exclusive knowledge or access to material facts, the complaint should allege the content of the omitted facts, the defendant's awareness of the materiality of those facts, the inaccessibility of the facts to plaintiff, the general point at which the omitted facts should or could have been disclosed, and justifiable and actual reliance based on the omission. (Id. at 50).

In *Dhital v. Nissan*

North America, Inc. (2022) 84 Cal.App.5th 828, 843-44, the Court of Appeal held that the plaintiffs adequately pled fraudulent inducement by concealment where they alleged that the manufacturer knew of a material vehicle defect, had exclusive knowledge of the defect, concealed the defect, intended to induce the plaintiffs' purchase, and that the plaintiffs would not have purchased the vehicle had the defect been disclosed. The court further held that the plaintiffs sufficiently alleged a relationship giving rise to a duty to disclose where they alleged that they purchased the vehicle from an authorized dealership, that the manufacturer backed the vehicle with an express warranty, and that the manufacturer's authorized dealerships acted as its agents. (Id. at 844).

Dhital, at one point, was in question by Supreme Court, and review was granted. The review was subsequently dismissed on December 18, 2024, effectively affirming the holding of *Dhital* for present purposes.

Here, Toyota correctly argues

that a duty to disclose may arise under the circumstances identified in *LiMandri*. (See *LiMandri*, supra, 52 Cal.App.4th 326, 336). However, Toyota's argument that Plaintiff has not sufficiently alleged facts supporting any duty to disclose is unpersuasive at the pleading stage as the Complaint alleges facts similar to those found sufficient in *Dhital*. Specifically, Plaintiff identifies the allegedly concealed material fact that the engine installed in the Subject Vehicle suffered from "one or more defects that can result in loss of power, stalling, engine running rough, engine misfires, failure or replacement of the engine." (Compl. ¶ 53). Plaintiff further alleges that the defect created unsafe conditions and presented a safety hazard that severely affected Plaintiff's ability to control the vehicle. (Compl. ¶ 55). These allegations support materiality because, as in *Dhital*, the alleged defect concerns a significant vehicle component and safety-related performance. Plaintiff also alleges that Toyota knew of the defect and had exclusive knowledge of it through "non-public, internal data about the Engine Defect." (Compl. ¶¶ 57, 62). Plaintiff further alleges that Toyota intentionally

concealed and failed to disclose the defect. (Compl. ¶ 68). Plaintiff also alleges that Toyota intended to induce Plaintiff's purchase of the Subject Vehicle, and that Plaintiff would not have purchased the Subject Vehicle had he known of the defect. (Compl. ¶¶ 66, 71). Taken as true, these allegations correspond to the allegations found sufficient in *Dhital*, such as knowledge of a material defect, exclusive knowledge, concealment, intent to induce purchase, reliance, and resulting damage.

The Complaint also alleges facts supporting a duty to disclose under *LiMandri*. Although the Complaint does not expressly allege that Plaintiff purchased the Subject Vehicle from an authorized Toyota dealership, Plaintiff alleges that he entered into a warranty contract with Toyota regarding the Subject Vehicle, and that Toyota manufactured and/or distributed the Subject Vehicle. (Compl. ¶ 7). Plaintiff also alleges that Toyota's dealers acted as Toyota's agents for vehicle repairs and that Toyota obtained information regarding the alleged engine defect through early consumer complaints to Toyota's dealers, dealership repair orders, and testing conducted in response to those complaints. (Compl. ¶ 57). These allegations matter because facts are required to show a duty to disclose under *LiMandri*, and Plaintiff alleges more than a failure to disclose. Plaintiff alleges Toyota had exclusive knowledge of material facts not known or reasonably discoverable by Plaintiff, actively concealed the defect, and made partial representations regarding the quality of vehicles equipped with the 3.4L engine while suppressing information about the alleged defect. At the pleading stage, these allegations together with Plaintiff's allegations of Toyota's exclusive knowledge, concealment, and partial representations regarding quality of vehicles equipped with the 3.4L engine, are sufficient to allege a duty to disclose and an actionable omission.

Accordingly, the Demurrer to Sixth Cause of Action (Fraudulent Inducement – Concealment) on the sufficiency of the pleadings grounds is overruled.

ii.

Economic Loss Rule

A plaintiff may assert a fraudulent concealment cause of action based on conduct occurring in the course of a contractual relationship if the elements of the claim can be established independently of the parties' contractual rights and obligations. (*Rattagan*,

supra, 17 Cal.5th 1, 13). Further, the tortious conduct must expose the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the contract. (Id.).

The economic loss rule

does not bar a fraudulent inducement by concealment claim where the plaintiff alleges that the manufacturer knew of a material vehicle defect before sale, concealed the defect, intended to induce the plaintiff to purchase the vehicle, and the plaintiff would not have purchased the vehicle had the defect been disclosed. (Dhital, supra, 84 Cal.App.5th 828, 840-44). Such pre-sale concealment is distinct from the manufacturer's alleged subsequent breach of warranty obligations, including the failure to repair, replace, or repurchase the vehicle after sale. (Id. at 841-43). Although Dhital acknowledged that certain allegations regarding failures to disclose during post-sale repair attempts did not fall neatly within the pre-sale/post-sale distinction, the court declined to sustain the demurrer on economic loss rule grounds because the fraudulent inducement claim was based, at least in part, on pre-sale concealment. (Id. at 843).

Here, the fraudulent

inducement exception to the economic loss rule under Dhital applies.

Plaintiff alleges that Toyota intentionally concealed material facts regarding the alleged engine defect and thereby induced Plaintiff to purchase the Subject Vehicle. (Compl. ¶¶ 57, 71). Plaintiff

further alleges that, "prior to the sale of the Subject Vehicle," Toyota knew or had reason to know of the engine defect based on "pre-releas[e] testing data; early consumer complaints about the Engine Defect to Defendant Toyota's dealers who are Toyota's agents for vehicle repairs; dealership repair orders; testing conducted in response to those complaints; and other internal sources of information possessed exclusively by Defendant Toyota and its agents." (Compl. ¶ 57).

Plaintiff also alleges that, despite this knowledge, Toyota

"continued to represent that Toyota vehicles equipped with the 3.4L engine were of high quality" and trained its dealers "to specifically tout the supposedly superior attributes of the 3.4L engine without ever mentioning its troubling Engine Defect." (Compl. ¶¶ 63, 72). Taken

as true for the purposes of the demurrer, these allegations are sufficient to allege pre-sale concealment of a known defect that induced Plaintiff's purchase of the Subject Vehicle. Such alleged conduct is distinct from Toyota's later

alleged failure to comply with its warranty obligations.

Although the Complaint also contains allegations regarding Toyota's post-sale failure to disclose the alleged engine defect and inability to repair the defect. (Compl. ¶¶ 68, 73, 74), as in *Dhital* the inclusion of some post-sale repair-related allegations does not warrant sustaining the demurrer on economic loss rule grounds where the fraudulent inducement claim is based, at least in part, on alleged pre-sale concealment. (*Dhital*, supra, 84 Cal.App.5th at 843).

Accordingly, the Demurrer to the Fraudulent Inducement – Concealment cause of action on economic loss rule grounds is overruled.

B.

Motion to Strike

A plaintiff may claim punitive damages if the plaintiff pleads facts supporting an award under Civil Code § 3294. (*Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 163-64). To survive a motion to strike punitive damages allegations, the plaintiff must plead ultimate facts showing an entitlement to such relief. (*Clauson v. Superior Court* (1998) 67 Cal.App.4th 1253, 1255). Conclusory allegations that the defendant acted willfully, maliciously, fraudulently, or oppressively are insufficient unless supported by factual allegations showing oppression, fraud, or malice within the meaning of Civil Code § 3294. (*Brousseau v. Jarrett* (1977) 73 Cal.App.3d 864, 872; see also *Grieves*, supra, 157 Cal.App.3d at 166).

A plaintiff may recover punitive damages “[i]n an action for the breach of an obligation not arising from contract” where the plaintiff proves by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice. (Civ. Code § 3294, subd. (a)). “Fraud” means “an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant” made with the intention of depriving a person of property or legal rights or otherwise causing injury. (Civ. Code § 3294, subd. (c)(3)). “Malice” means conduct intended to cause injury to the plaintiff or despicable conduct carried on with a willful and conscious disregard of the rights or safety of others. (Civ. Code § 3294, subd. (c)(1)). “Oppression” means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights. (Civ. Code § 3294, subd. (c)(2)).

Where punitive damages are sought against a corporate employer based on the acts of an employee, the plaintiff must plead facts showing that an officer, director, or managing agent of the corporation had advance knowledge of the employee's unfitness and employed the employee with conscious disregard of the rights or safety of others, authorized or ratified the wrongful conduct, or was personally guilty of oppression, fraud, or malice. (Civ. Code § 3294, subd. (b)). A managing agent is one who exercises substantial independent authority and judgement in corporate decision-making such that the employee's decisions ultimately determine corporate policy. (*White v. Ultramar, Inc.* (1999) 21 Cal.4th 563, 566-67).

Punitive damages are not recoverable for a mere breach of contract or for breach of warranty obligations alone. (Civ. Code § 3294, subd. (a)). However, punitive damages may be available where the plaintiff alleges an independent tort, such as fraudulent inducement or fraudulent concealment, supported by facts showing fraud, oppression, or malice. (Civ. Code § 3294, subds. (a), (c)(3)).

A Song-Beverly civil penalty and punitive damages may both be available where they are based on different conduct. In *Anderson [v. Ford Motor Co.]* (2022) 74 Cal.App.5th 946], the Court of Appeal held that punitive damages and Song-Beverly civil penalties were not duplicative where the punitive damages were based on pre-sale fraud and concealment, while the Song-Beverly civil penalty was based on the manufacturer's post-sale failure to comply with its statutory obligations to replace the vehicle or make restitution after a reasonable number of repair attempts. (*Id.* at 966-68). The relevant inquiry is whether both remedies punish identical conduct, not merely whether some evidence overlaps or even substantially overlaps. (*Id.* at 970-71).

Here, Plaintiff does not seek punitive damages solely on Toyota's alleged violation of the Song-Beverly Act. Rather, the punitive damages prayer is predicated on Plaintiff's fraudulent inducement/concealment claim, which alleges that Toyota knew of the alleged engine defect before sale, intentionally concealed the defect, continued to represent that vehicles equipped with the 3.4L engine were of high quality, and induced Plaintiff to purchase the Subject Vehicle. (Compl. ¶¶71, 72). Because the Court has overruled the demurrer to the fraudulent inducement – concealment claim, the punitive damages prayer is not subject to being stricken on the ground that

punitive damages are unavailable for Song-Beverly violations alone.

Further, at the pleading stage, Plaintiff's allegations that Toyota concealed a material defect known to Toyota, continued to market vehicles equipped with the 3.4L engine as high quality, and did so to induce Plaintiff's purchase are sufficient to allege fraud under Civil Code section 3294(c)(3).

To the extent Toyota argues Plaintiff has not adequately pleaded Civil Code section 3294(b), the Court finds the allegations sufficient at the pleading stage. Plaintiff alleges that Toyota knew of the engine defect through consumer complaints, dealership repair orders, testing, and other internal sources of information; that Toyota concealed and failed to disclose the engine defect; that Toyota trained its dealers on a nationwide scale to tout the allegedly superior attributes of the 3.4L engine; and that Toyota authorized dealers to implement a strategy to take limited repair measures that allegedly reduced Toyota's warranty spending while failing to remedy the underlying defect. (Compl. ¶¶ 57, 72, 75). These allegations support a reasonable inference, at the pleading stage, that the alleged concealment and repair strategy were corporate-level decisions authorized or ratified by Toyota's officers, directors, or managing agents.

Accordingly, Toyota's Motion to Strike Punitive Damages is denied.

Conclusion

Defendant Toyota Motor Sales, U.S.A., Inc.'s Motion for Demurrer to the Sixth Cause of Action (Fraudulent Inducement – Concealment) is overruled.

Defendant Toyota Motor Sales, U.S.A., Inc.'s Motion to Strike Punitive Damages is denied.

Defendant is ordered to file its Answer within 10 day of this Ruling. The Court continues the Case Management Conference to, and sets an Order to Show Cause re Filing of Answer for, _____, 2026, at 8:30AM.

Date: 07/16/2026 _____

William E. Weinberger

Judge, Los Angeles Superior Court